Module 3- Short Note

Market Structure

Topics:

Perfect and imperfect competition – monopoly, regulation of monopoly, monopolistic completion (features and equilibrium of a firm) – oligopoly – Kinked demand curve – Collusive oligopoly (meaning) – Non-price competition – Product pricing – Cost plus pricing – Target return pricing – Penetration pricing – Predatory pricing – Going rate pricing – Price skimming.

Market Structure:

- **Market is a place where the interaction between buyers and sellers takes place in order to buy or sell a product.**

Types of market Structure:

I. **Perfect competition**
II. **Monopoly,**
III. **Monopolistic competition**
IV. **Oligopoly.**

I. Perfect competition:

Perfect competition is a market situation in which there are a large number of buyers and sellers dealing in homogeneous product with perfect knowledge about the market conditions and perfect mobility of goods and factors of production.

Features:

1. **Large number of buyers and sellers**
2. **Homogeneous/identical product**
3. **Uniform price**
4. **Freedom of entry and exit**
5. **Perfect Knowledge**
6. **Absence of transport cost**
7. **Producer/ seller is a price taker, not a price maker:-**
   Under perfect competition price is determined for the entire industry by the forces of demand and supply. This price is accepted by each firm in the industry. Thus, a seller is a price taker under perfect competition.
   A seller can sell any amount at this price. Hence demand curve is perfectly elastic. It is a horizontal straight line parallel to X- axis.

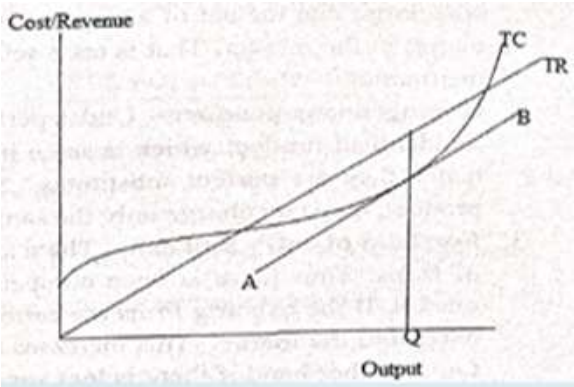
Firm and Industry Equilibrium under Perfect Competition:

Under any market situation a firm is in equilibrium when it gets maximum profit. There are two approaches to find the profit maximizing level of output.

I. TC, TR Approach &

II.MC= MR Approach

I.TC, TR Approach: **Under this approach a firm will be in equilibrium when it produce that level of output where the difference between TR and TC (profit) is the maximum. In the diagram Q is the equilirium output where the differrece between TR and TC is maximum. In the diagram Q is the equilirium output where the differrece between TR and TC is maximum**

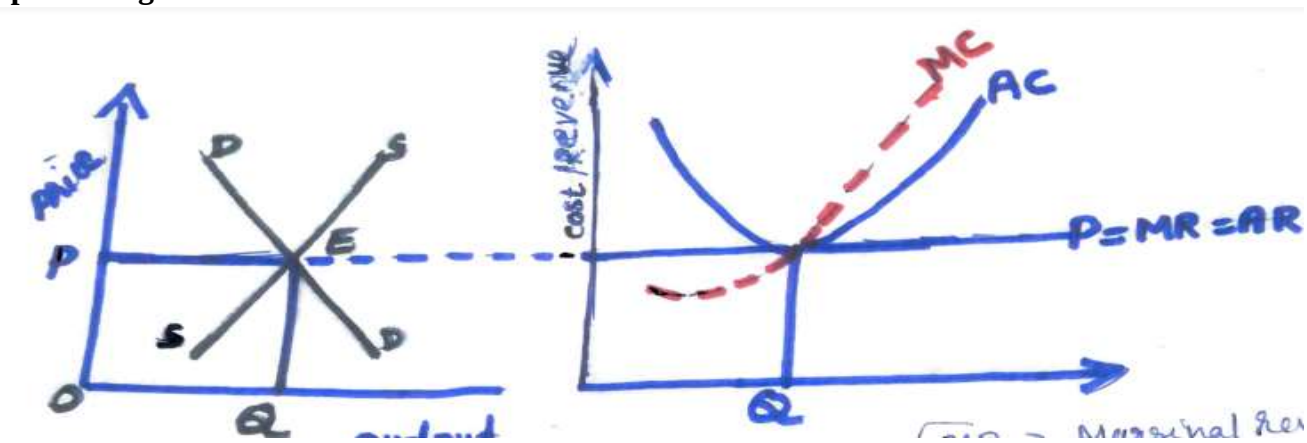


II.MC= MR Approach

Under perfect competition a firm is in equilibrium when the following two conditions are satisfied;

- **MC= MR**
- **MC intersects MR from below (or MC is rising)**

Firm and Industry Equilibrium under Perfect Competition can be explained with the help of a diagram.



In the above diagram, a firm & industry in equilibrium at point E, (or at price 'P') where MC= MR, MC intersects MR from below.
(Under any market condition, AR curve is the demand curve).

II.Monopoly

- **Monopoly means single seller. It refers to a market structure in which a single producer or monopolist has full control over price and output.**

Features:

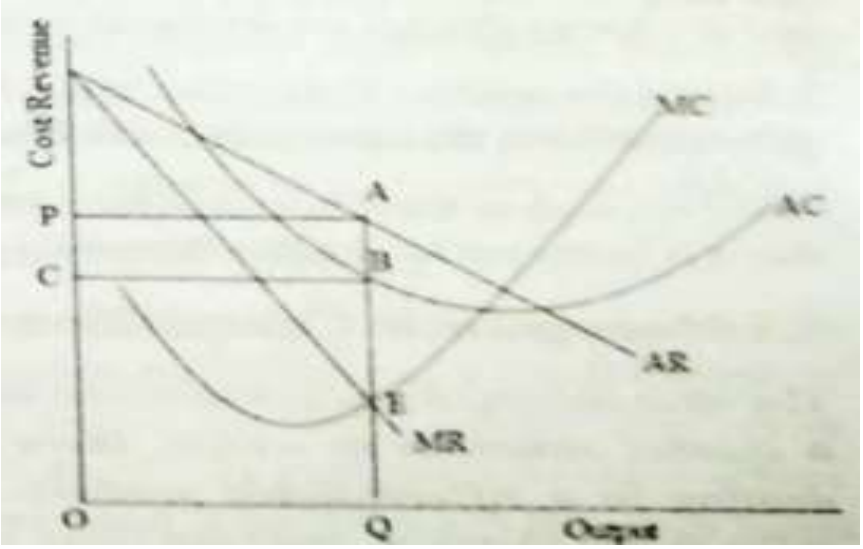
1. Single seller and a large number of buyers
2. No close substitute
3. One firm one industry
4. Barriers to entry
5. Control over the supply
6. Seller is a price maker.
7. Downward sloping demand curve.

Equilibrium price & output Determination

Under any market situation a firm is in equilibrium when it gets maximum profit.
Usually, a monopolist earns supernormal profit because he has complete control over the price and supply of a commodity. Profit will be maximum when;

1. MC= MR
2. MC intersects MR from below.

Equilibrium price and output determination is explained with the help of following diagram.



In the diagram,

- ✓ E, is the equilibrium point where MC= MR, MC intersects MR from below.
- ✓ OQ is the equilibrium level of output.
- ✓ AR (Average Revenue) is equal to QA
- ✓ AC (Average Cost) is equal to QB
- ✓ AR>AC.
- ✓ Profit per unit =AB. Hence the area PABC shows the total profit earned by the monopolist.

Price Discrimination

It is the act of charging different prices for the same product from different consumers. For example, a doctor charges different fees from poor and rich patients or for electricity low rates are charged for domestic consumption and high rate for commercial consumption.

Dumping

It means a monopolist sells his product at a higher price in the home market and lower price in the international market. This may be to clear the excess or outdated stock or to increase the market share, or to avoid competitors.

Regulation of Monopoly

Following are the important measures to control monopoly;

1. By regulation through taxation

2. By regulation of conditions of monopoly. Example- water and electricity charges.

3. By anti- monopolies laws and policies. Example- In India MRTP Act to control monopolies.

III.Monopolistic Competition

- **Monopolistic Competition is a market situation, in which, there are a large number of buyers and sellers dealing in differentiated products which are close substitutes.**

Features of Monopolistic Competition

1. A large number of buyers and sellers:

2. Freedom of entry and exit of firms

3. Product differentiation: Product differentiation is the essence of monopolistic Competition. Differentiated products are similar but not identical. They are close substitutes.They may differ in colour, quality, shape, taste, size, packing, trademark, brand, etc. Different brands of soap, soft drinks etc. are examples.

4. Non -price competition:

5. Selling cost

6. Imperfect knowledge.

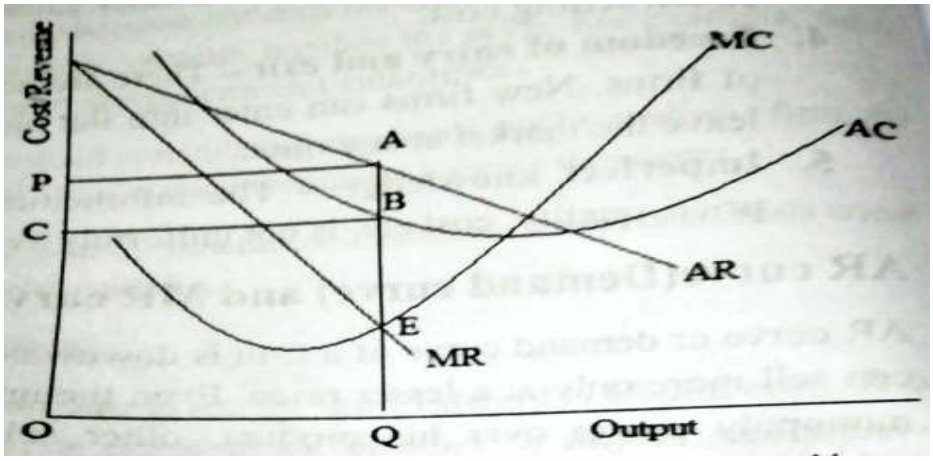
Equilibrium price & output Determination:

A firm in monopolistic competition is in equilibrium when;

1. **MC= MR, and**
2. **MC intersects MR from below (MC is rising)**

Usually a firm earns supernormal profit in the short run . But in the long run some firms may earn normal profit and some may incur loss. This situation is explained with the help of a diagram.

In the short run:

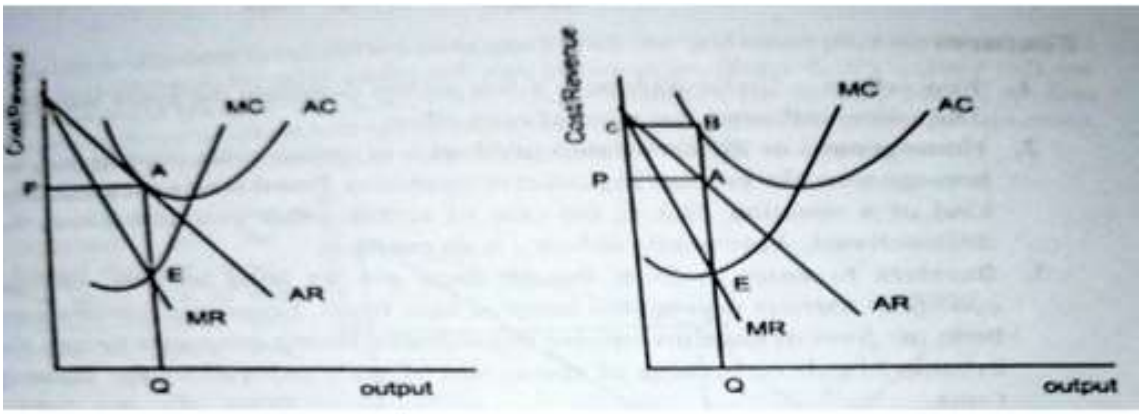


In the diagram,

- ✓ E, is the equilibrium point where MC= MR, MC intersects MR from below.
- ✓ OQ is the equilibrium level of output.
- ✓ AR (Average Revenue) is equal to QA
- ✓ AC (Average Cost) is equal to QB
- ✓ AR>AC.
- ✓ Profit per unit =AB. Hence the area PABC shows the total profit.

In the long run:

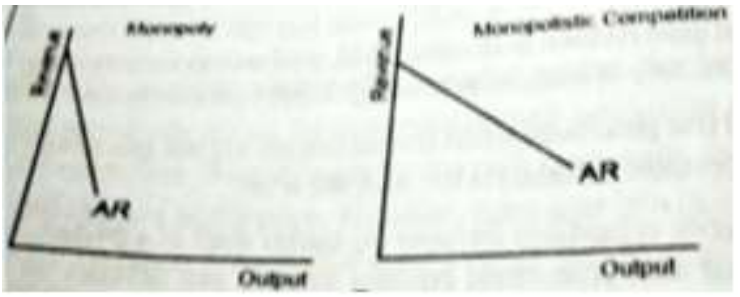
But in the long run some firms may earn normal profit and some may incur loss. Freedom of entry and exit ensures normal profit in the long run. It can be explained with the help of following diagram.



Normal profit
*** P=AC**

Loss
*** P<AC**

Demand Curve Under monopoly & monopolistic Competition



In monopoly close substitutes are not available, hence demand curve is less elastic than monopolistic competition.
But in monopolistic competition products are close substitutes and hence demand curve is more elastic (more flat) than under monopoly.

IV. Oligopoly

The Oligopoly Market characterized by few sellers, selling the homogeneous or differentiated products.

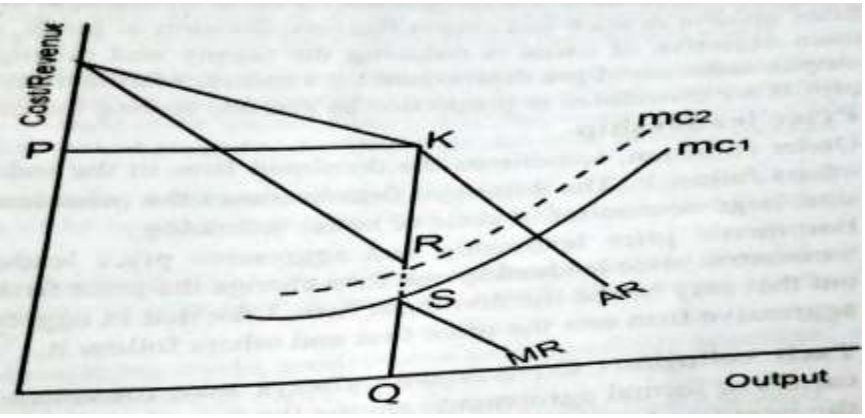
Features

1. **A few Sellers**
2. **Homogeneous or Heterogeneous (differentiated) products.**
3. **Barriers to Entry of Firms**
4. **Interdependence:**
5. **Advertising and Selling Cost:**
6. **Existence of Price rigidity**
7. **Indeterminate demand curve.**

Price & output determination under oligopoly: Or Kinked demand curve Model- (Paul M Sweezy)

Kinked demand curve model was developed by Paul M Sweezy. This model explains Price rigidity on the basis of two assumptions;

1. If a firm increases its price others will not follow. Hence it will lose its customers.
2. If a firm decreases its price others will also do the same. Hence firm's demand will not increase, it will lose their profitability.
Therefore, a firm under oligopoly stick to its price. It can be explained with the help of a diagram.



- **The lower part of the demand curve is less elastic. The upper part of the demand curve is more elastic. Thus, in the figure we can see a kink at point K in the demand curve. This kink creates a discontinuity in the MR curve.**
- **'Q' is the equilibrium level of output, 'P' is the equilibrium price.**

Collusive Oligopoly:

- **To avoid price war firms, enter in to an agreement regarding uniform price and output. This**

agreement is known as collusion.

Types: - The collusion / agreement may be

I. Formal (open/explicit)
II. Informal (tacit/secret/implicit)

I. Formal:

Formal collusion is an explicit / open agreement among the firm.

- ✓ The most common form of explicit collusion is Cartel.
- ✓ Cartel is an explicit/ formal agreement between firms. This kind of collusion is possible when there are a few sellers and the product is homogeneous. OPEC is an example.
- ✓ Price and output under cartel are determined by a central administrative authority. The aim is maximizing profit for the member firms. It will maximize profit by fixing the industry's output at the level where MC=MR.

Price Leadership: - Another form of explicit collusion is Price Leadership.

Types;

1.Dominant firm Price Leadership
2.Barometric Price Leadership
3.Aggressive Price Leadership

II. Informal (Tacit/secret/implicit):

- ✓ In tacit collusion firms collide in an informal way and agree to charge the same price.

Non price Competition

- ❑ Non price Competition is a marketing strategy that includes promotional expenditures such as sales staff, sales promotion, special orders, free gifts, coupons, and advertising.
- ❑ There are two main branches of non- price competition ;

  1. Product differentiation & 2. Sales promotion or advertising.

  In short non price competition increases the market share of a product. But it increases selling cost and other promotional expenses which in turn increases the average cost of production.

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Comparison Between perfect competition, monopoly, monopolistic competition and oligopoly

Perfect Competition	Monopoly	Monopolistic Competition	Oligopoly
Large no. of buyers and sellers	Single Seller and large no. of buyers	Large number of buyers and sellers	Few sellers and large no of buyers
Homogenous product	Single product without close substitutes	Differentiated product	Homogenous or Differentiated
product			Barriers to entry
Freedom of entry and Exit	Freedom of entry restricted	Freedom of entry and exit	Selling cost
No selling cost	No selling cost	Selling cost	Indeterminate demand curve
Perfectly elastic demand curve	Downward sloping less elastic demand curve	Downward sloping more elastic demand curve	

Product pricing

A firm should decide its pricing strategy. The objective of the firm play an important role in pricing decision.

Types / Methods of Pricing:

1) Cost Plus / Markup pricing:

Under this strategy price is the sum of cost and a profit margin. Usually, average cost is used for this purpose. Therefore, it is also called Average Cost Pricing or Full Cost Pricing. Thus the price will be; P=AC+ m

Where, m- Percentage of markup (or profit margin).

2) Target Return Pricing: This method is similar to Cost Plus / Markup pricing. The main different is that in cost plus pricing, the profit margin is decided arbitrarily, whereas under this method producer rational decides the minimum rate of return, depending on the experience of the firm, consumers paying capacity, risk involved and many other factors.

3) Predatory Pricing:

Under Predatory Pricing the predator, already a dominant firm, sets its prices too low for a sufficient period of time so that its competitors leave the market and others are deterred from entry. This kind of predation is done on the expectation that these present losses will be compensated by future gains.

4) Penetration Pricing: is a method of charging a price less than the existing price.

5) Going Rate Pricing: is the strategy of following prevailing market price. This price is adopted when the products are close substitutes. Eg; packaged drinking water.

6) <u>Price Skimming:</u> It is a strategy in which high price is charged at the time of introduction of the product and a lower price during maturity.

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